

Treasury, Cash Tech & Business Partnering — Hands-On

Hands-On Complete-Knowledge Deep-Dive (India, 2026)

Do-the-task drills: worked examples, entries, interview drills & free practice

Contents

1. **The Treasury Function & TMS (Kyriba, SAP TRM, FIS)**
2. **FX Risk & Hedge Accounting**
3. **Liquidity, Cash Management & Bank Connectivity (SWIFT)**
4. **Debt, Investments & Treasury Risk Policy**
5. **Finance Business Partnering & Influence**
6. **Data Storytelling & Executive Communication**
7. **Treasury & Partnering Interview Drills + Cheat-Sheet**

The Treasury Function & TMS (Kyriba, SAP TRM, FIS)

What you'll be able to do

Walk into a corporate treasury team and know where you sit, what the front/middle/back office each own, and what a treasury analyst actually produces on a Tuesday morning: a consolidated cash position, a funding decision, a deal ticket, and a set of controls that keep it clean. You'll be able to describe how a Treasury Management System (TMS) — Kyriba, SAP Treasury & Risk Management (TRM), or FIS Quantum/Integrity — pulls bank balances, positions cash, records deals, and feeds the GL. You'll build a simple daily cash position by hand so you understand exactly what the system automates, and you'll speak the language of the in-house bank (IHB), value dating, and zero-balancing.

The essentials

What treasury exists to do. Treasury protects and mobilises the firm's cash. Four mandates: 1. **Cash & liquidity** — know today's cash to the rupee, forecast tomorrow's, never let a subsidiary run dry or leave idle balances earning nothing. 2. **Funding & capital** — raise short-term (CP, working-capital lines, overdrafts) and long-term debt, manage the maturity ladder, keep headroom on committed facilities. 3. **Financial risk** — FX, interest-rate, commodity and counterparty risk, hedged within a board-approved policy. 4. **Banking & controls** — bank relationships, account opening/closing (BAM), payment security, and segregation of duties so no one person can both deal and settle.

Front / middle / back office. The classic separation that prevents fraud and error:

Office	Owns	Typical roles	Key rule
Front	Dealing: FX, MM, debt, investments; positioning cash	Dealer, cash manager	Executes within limits
Middle	Risk, limits, policy, MTM, P&L, compliance	Risk analyst, treasury controller	Independent check on front
Back	Settlement, confirmation, reconciliation, accounting	Settlements analyst	Never deals; confirms deals

An analyst usually starts in the back or middle office. Segregation of duties (SoD) means the person who **deals** cannot **confirm** or **settle** the same trade.

The TMS. A single system of record for cash, deals, and risk. The big three in Indian GCCs and MNCs:

TMS	Vendor	Strengths
Kyriba	Kyriba (SaaS, cloud)	Bank connectivity, payments hub, cash forecasting, fraud detection
SAP TRM	SAP (part of S/4HANA)	Deep ERP/GL integration, hedge accounting, in-house cash (IHC module)
FIS Quantum / Integrity	FIS	Debt & investment heavy, treasury for large corporates/banks

What a TMS does that a spreadsheet can't safely do: auto-imports bank statements (MT940/camt.053), values deals to market, enforces dealing limits, produces the settlement instructions, and posts journals to the ERP — all with an audit trail.

In-house bank (IHB). Treasury acts as an internal bank to its own subsidiaries: each unit holds an internal current account with treasury instead of many external bank accounts. Treasury nets intercompany flows, runs a central external account, and charges/pays internal interest. Fewer bank accounts, fewer external payments, one FX desk. SAP calls this In-House Cash (IHC).

Cash positioning is the daily act of assembling every bank balance, adding known inflows/outflows for value date, and deciding: invest the surplus, or draw the line to cover the gap.

Hands-on — step by step

Task: build today's (14-Jul-2026) consolidated cash position and decide the action. Group treasury in Mumbai; three bank accounts.

Opening cleared balances (from this morning's MT940 import):

- HDFC current a/c: ₹4.20 cr
- ICICI current a/c: ₹1.10 cr
- Citi USD a/c: USD 300,000 (spot 86.40 → ₹2.592 cr)

Known value-dated flows for today:

- Customer collections expected (confirmed): +₹1.80 cr into HDFC
- Vendor payment run (already approved): -₹3.50 cr from HDFC
- Payroll: -₹0.90 cr from ICICI
- USD export receipt: +USD 120,000 into Citi (₹1.037 cr)

Step 1 — Import & reconcile. In the TMS (say Kyriba), bank statements arrive overnight as MT940. The system auto-matches statement lines to expected items; you clear breaks in the reconciliation workbench. By hand you'd tie the bank's opening balance to your ledger.

Step 2 — Convert FX to base currency. Citi USD balance $300,000 \times 86.40 = ₹2.592$ cr; USD receipt $120,000 \times 86.40 = ₹1.0368$ cr. Always position in one base currency (INR here).

Step 3 — Build the position per account (₹ cr):

Account	Opening	+In	-Out	Projected close
HDFC	4.20	1.80	3.50	2.50
ICICI	1.10	0.00	0.90	0.20
Citi (INR eqv)	2.592	1.0368	0.00	3.629
Group	7.892	2.837	4.40	6.329

Step 4 — Apply the target/minimum. Policy: keep ₹0.50 cr minimum operating buffer per INR account; sweep the rest to the concentration account and invest overnight. ICICI at ₹0.20 cr is **below buffer** by ₹0.30 cr → fund it from HDFC via internal transfer.

Step 5 — Decide the action. After topping ICICI to ₹0.50 cr (move ₹0.30 cr HDFC→ICICI), HDFC = ₹2.20 cr. Group surplus above buffers $\approx$ ₹6.329 – (0.50+0.50) INR buffers – keep USD working = about ₹4.8 cr investable. Place ₹4.5 cr in an overnight liquid fund / TREPS at ~6.6% p.a.

Step 6 — Record & instruct. Raise the internal transfer, book the overnight investment as a deal (money-market deal ticket), and let the TMS generate the payment/settlement instruction. Middle office checks it's within the counterparty limit; back office confirms and settles.

The output

Daily Cash Position — Group Treasury — 14-Jul-2026 (₹ cr)

Opening cleared balance (all accounts, INR eqv)	7.892
Add: confirmed inflows	+ 2.837
Less: approved outflows	- 4.400
Projected closing balance	6.329
Less: operating buffers (2 × 0.50)	- 1.000
Less: FX working balance retained (Citi)	- 0.829
Investable surplus	4.500
Action: overnight liquid fund @ ~6.6% p.a.	
Interest earned (1 day) = $4.5\text{cr} \times 6.6\% / 365 \approx$ ₹8,137	
Internal funding: HDFC → ICICI ₹0.30 cr (restore buffer)	

One overnight day of ₹4.5 cr left idle in a current account earns nothing; positioned, it earns ~₹8,100 — that is the treasury analyst's daily value-add, multiplied across a year.

Checks, gotchas & red flags

- **Value date, not booking date.** Position on when cash actually moves. A cheque credited today but clearing T+1 is not spendable today.
- **Cleared vs ledger balance.** Only cleared/available funds count for investing. Uncleared floats bite.
- **FX at one rate, disclosed.** Convert all currencies at a single agreed rate and state it; don't mix yesterday's and today's spot.
- **Buffers per account, not just group.** A group surplus hides a subsidiary about to overdraw — always check each account against its minimum.
- **SoD breach.** If the same login that raised the investment also confirmed it, that's a red flag auditors will catch.
- **Forecast vs actual.** Track how far your projected close missed the real close; persistent bias means bad inputs (AP/AR feeds) — fix the source.

Interview drill

Q: Walk me through how a cash position is built and why value dating matters. A: Start with opening cleared balances per account, convert foreign currencies to base at one spot rate, layer confirmed inflows

and approved outflows **by value date**, and net to a projected close. Value dating matters because I can only invest or must cover funds that actually settle that day — booking a receivable today that clears T+2 would overstate spendable cash and could leave an account overdrawn. Then I apply per-account buffers before deciding to invest the surplus or draw a line.

Q: What does a TMS give you over Excel? A: A single system of record with controls Excel can't enforce — automated bank statement import (MT940/camt.053) and reconciliation, deal capture with limit checks, mark-to-market, straight-through settlement instructions, and automatic GL posting with a full audit trail and segregation of duties. Excel has no SoD, is error-prone at scale, and leaves no tamper-evident trail.

Q: What is an in-house bank and why use one? A: Treasury runs internal current accounts for each subsidiary and a single external account for the group, netting intercompany flows and charging internal interest. It cuts external bank accounts and cross-border payments, centralises FX and investment, and gives visibility of all cash — lowering bank fees and idle balances.

Learn/practise (free)

- **ACT (Association of Corporate Treasurers)** free resources and the *Treasurer's Wiki* — front/middle/back office, cash management basics.
- **Kyriba, SAP, FIS websites** — product datasheets and demo videos are free; watch a Kyriba cash-positioning demo to see the workflow.
- **SAP TRM**: a free SAP Learning Hub trial or the openSAP courses let you click through the TRM/IHC transaction flow without a live client.
- **Rehearse the position build** in Excel monthly: pull three mock bank statements, position in one base currency, apply buffers, and write the one-page action note above. That single artefact is exactly what the job asks for.
- **Corporate annual reports** (e.g. Infosys, Reliance treasury notes) — read how a real group describes its liquidity and cash management policy.

FX Risk & Hedge Accounting

What you'll be able to do

Identify the three kinds of FX exposure a company runs, pick the right instrument to hedge each, price and book a forward hedge end to end, and pass the hedge-accounting entries under Ind AS 109 / IFRS 9 for both a cash-flow hedge and a fair-value hedge. You'll compute a forward rate from interest-rate parity, mark the forward to market, test effectiveness, and show where every number lands — OCI, P&L, and the hedging reserve. This is the exact skill a treasury/finance analyst in an Indian exporter or GCC is asked to demonstrate.

The essentials

Three exposure types.

Exposure	What it is	Hits	Hedge?
Transaction	A committed/forecast FX cash flow (an export receivable, an FX loan)	P&L when it settles/reprices	Yes — forwards, options, swaps
Translation	Restating a foreign subsidiary's net assets into the parent's currency	OCI (FCTR), not cash	Usually left, or net-investment hedge
Economic	Long-run competitiveness if the currency moves (a rival's costs fall)	Future revenues/margins	Operational, hard to hedge financially

Instruments. - **Forward** — lock a rate today for a future date. Obligation on both sides. Cheapest, most common. No premium. - **Currency swap** — exchange principal and/or interest in two currencies; used for FX debt. - **Option** — right, not obligation, to buy/sell at a strike; costs a premium; keeps upside. Use when the cash flow is uncertain or you want protection with participation.

Forward pricing — covered interest-rate parity. The forward isn't a forecast; it's arithmetic:

$$F = S \times (1 + i_{\text{quote}} \times t) / (1 + i_{\text{base}} \times t)$$

For USD/INR, INR is the quote (higher rate) so the forward trades at a **premium** to spot. Higher-yield currency trades at a forward discount.

Hedge accounting (Ind AS 109 / IFRS 9). Normally derivatives are fair-valued through P&L. That creates a timing **mismatch**: the hedged item (e.g. a forecast sale) isn't yet in P&L, but the derivative swings are. Hedge accounting realigns the timing. Three types:

Type	Hedges	Effective portion goes to	Reclassified when
Cash-flow hedge	Variability in future cash flows (forecast sale, floating-rate debt)	OCI (cash-flow hedge reserve)	Hedged item hits P&L
Fair-value hedge	Change in FV of a recognised asset/liability or firm commitment	P&L (and the hedged item is remeasured to P&L too)	n/a — both in P&L now
Net-investment hedge	FX on a foreign operation's net assets	OCI (FCTR)	On disposal of the operation

Qualifying criteria: formal designation and documentation at inception, an economic relationship between item and instrument, credit risk doesn't dominate, and a defined hedge ratio. IFRS 9 dropped the old 80–125% bright line but you still test effectiveness and record any **ineffectiveness in P&L**.

Hands-on — step by step

Scenario. On 1-Apr-2026 an Indian exporter expects to receive **USD 1,000,000** on 30-Jun-2026 (a highly probable forecast sale). Risk: USD/INR could fall before then. Spot = 86.00. It sells USD forward.

Step 1 — Price the 3-month forward. $i_{\text{INR}} = 6.5\%$ p.a., $i_{\text{USD}} = 4.5\%$ p.a., $t = 91/365 = 0.2493$.

$$F = 86.00 \times (1 + 0.065 \times 0.2493) / (1 + 0.045 \times 0.2493) = 86.00 \times (1.016205) / (1.011219) = 86.00 \times 1.004931 = \mathbf{86.424}$$

Forward premium ≈ 0.424 , so it locks **USD/INR 86.42** for 30-Jun. Contracted INR = $1,000,000 \times 86.42 = \mathbf{₹8,64,24,000}$.

Step 2 — Designate. Document: hedged item = highly probable USD 1m forecast export on 30-Jun; instrument = USD 1m sell forward at 86.42; type = **cash-flow hedge**; ratio 1:1. This designation is what lets gains/losses sit in OCI.

Step 3 — Mark to market at reporting date (30-Jun-2026 = maturity). Assume spot on 30-Jun = **84.50** (rupee appreciated — the feared move). Forward now settles at spot.

- Gain on forward (we sold high, buy back low): $(86.42 - 84.50) \times 1,000,000 = \mathbf{+₹19,20,000}$.
- Loss on the underlying sale vs 1-Apr expectation: the USD 1m now converts at 84.50 = ₹8,45,00,000 vs ₹8,64,24,000 expected $\rightarrow \mathbf{-₹19,24,000}$ economic shortfall. The forward gain offsets it.

Step 4 — Test effectiveness. Change in FV of hedge = +₹19,20,000; change in value of expected cash flow attributable to FX $\approx -₹19,20,000$ (spot move 86.42 $\rightarrow$ 84.50 on the designated notional). Offset $\approx 100\%$, direction opposite $\rightarrow$ **highly effective**. Any tiny gap (forward-points vs spot method) is ineffectiveness to P&L.

Step 5 — Book the entries (cash-flow hedge).

At 30-Jun, before settlement, recognise the forward at fair value with the effective portion in OCI:

Dr	Forward asset (derivative)	19,20,000	
	Cr	Cash-flow hedge reserve (OCI)	19,20,000

On settlement, receive USD 1m, convert at spot 84.50, and net-settle the forward:

Dr	Bank (INR from USD sale @84.50)	8,45,00,000	
	Cr	Sales / Trade receivable	8,45,00,000
Dr	Bank (forward net settlement)	19,20,000	
	Cr	Forward asset	19,20,000

Reclassify the reserve to P&L as the sale is recognised (the "basis adjustment"):

Dr	Cash-flow hedge reserve (OCI)	19,20,000	
	Cr Revenue / P&L		19,20,000

Net revenue recognised = 8,45,00,000 + 19,20,000 = **₹8,64,20,000 ≈ the locked ₹8,64,24,000**. The hedge did its job.

Fair-value hedge variant. If instead you hedged a **recognised USD receivable** (already on the books), you don't use OCI — you fair-value the forward **through P&L** and remeasure the receivable for FX through P&L; the two offset directly, no reserve.

The output

Hedge documentation & result summary

Hedged item : USD 1,000,000 highly probable export, 30-Jun-2026
Instrument : USD 1m sell forward @ 86.42 (priced off CIP)
Hedge type : Cash-flow hedge (Ind AS 109 / IFRS 9)
Ratio : 1 : 1 Effectiveness: ~100%, highly effective

At settlement (spot 84.50):

Spot proceeds on USD 1m	8,45,00,000	
+ Forward gain (via OCI→P&L)	19,20,000	
= Effective INR realised	8,64,20,000	
vs Locked forward value	8,64,24,000	(diff = rounding/points)

Accounting effect: forward gain deferred in OCI, reclassified to revenue when the sale is booked – P&L shows the locked rate, no volatility from the interim MTM.

Checks, gotchas & red flags

- **Forward ≠ forecast.** The forward premium is interest-rate differential, not a bet on direction. Never explain it as "the market thinks INR will weaken."
- **Higher-rate currency = forward premium on the pair, discount on itself.** Get the parity direction right or your locked rate is upside-down.
- **Cash-flow → OCI; fair-value → P&L.** Mixing these is the classic exam and audit error.
- **"Highly probable" must be real.** If the forecast sale isn't highly probable, the hedge fails designation and everything drops to P&L.
- **Ineffectiveness always to P&L**, even under IFRS 9's relaxed model. Over-hedging (notional > exposure) creates ineffectiveness on the excess.
- **Credit/CVA and forward points** can make offset imperfect — document your method (spot vs forward) up front.
- **Reclassify, don't double count.** The OCI amount moves to P&L; it isn't income on top of the sale.

Interview drill

Q: Transaction vs translation exposure — which do you hedge and why? A: Transaction exposure is committed/forecast FX cash flows that hit P&L and cash on settlement, so it's the priority to hedge with forwards or options. Translation exposure is the non-cash restatement of a foreign subsidiary's net assets into OCI (FCTR); it doesn't affect cash, so most firms leave it or use a net-investment hedge. I'd spend the hedging budget on transaction risk first.

Q: Why do we need hedge accounting at all? A: Because derivatives are fair-valued through P&L by default, but the hedged item (a forecast sale, or floating debt interest) isn't in P&L yet — so unhedged, you'd book derivative volatility now against nothing. Hedge accounting parks the effective portion in OCI (cash-flow hedge) and releases it to P&L when the hedged item lands, so the income statement shows the locked economics instead of interim noise.

Q: A forecast sale hedge — walk the entries. A: At MTM, Dr forward asset / Cr cash-flow hedge reserve (OCI) for the effective gain; on settlement, book the sale at spot, settle the forward through bank, then Dr OCI reserve / Cr revenue to reclassify — net revenue equals the locked forward value. Any ineffectiveness goes straight to P&L.

Learn/practise (free)

- **Ind AS 109 / IFRS 9** standard text — ICAI and the IFRS Foundation publish the chapters free; read the hedge-accounting section and the illustrative examples.
- **KPMG / EY / Deloitte "IFRS 9 hedge accounting" guides** — free PDFs with worked cash-flow and fair-value examples.
- **RBI / FEDAI** — free reference for INR forward premia and how Indian banks quote forwards.
- **Rehearse the CIP calc** in Excel: pull today's USD/INR spot and 1M/3M forward from an FBIL/bank page, back out the implied rate differential, and check it against the parity formula.
- **CFA Level II derivatives** readings and Corporate Finance Institute's free FX risk articles cover exposure types and instrument choice.
- **Build the full journal set** for one hedge each quarter (one cash-flow, one fair-value) — that ledger walk is the single most-tested treasury-accounting skill.

Liquidity, Cash Management & Bank Connectivity (SWIFT)

What you'll be able to do

Design and run a cash pool — decide between notional and physical pooling, compute the interest benefit, and book the intercompany positions. Build a rolling liquidity forecast that a CFO would trust, execute a payment through the right channel, and read the plumbing that moves money: SWIFT, host-to-host (H2H), and bank APIs, plus the message formats (MT940, MT101, and the ISO 20022 / MX camt and pain messages that are replacing them). You'll also run bank account management (BAM) so the firm knows every account it owns and who can sign on it.

The essentials

Cash pooling — concentrating cash so the group borrows less and earns more.

	Notional pooling	Physical pooling (ZBA sweep)
Cash movement	None — balances <i>offset</i> on the bank's books	Real transfers sweep to a header account
Intercompany loans	Not created (no movement)	Created — each sweep is an IC loan
Interest	Bank pays/charges on the <i>net</i> balance	Header earns/pays; IC interest to participants
Needs	One bank, often one country, cross-guarantees	Works cross-bank; automated end-of-day sweep
India note	Restricted — RBI limits resident notional pooling and cross-border sweeps under FEMA	Domestic ZBA common; cross-border needs approval

Zero-balance account (ZBA): each operating account is swept to (or funded from) a concentration/header account daily so it ends at zero. **Target-balance (TBA):** swept to a set target, not zero.

Liquidity forecasting. A rolling view of cash in/out by day (short horizon) and by week/month (longer). Direct method = sum actual receipts and payments (AR, AP, payroll, tax, debt). Best practice: a **13-week rolling cash flow** for operational liquidity, refreshed weekly, with actual-vs-forecast variance tracking.

Payments & settlement rails. - **RTGS** (India): real-time gross, high value, 24×7. - **NEFT**: batch, any value, 24×7. - **SWIFT**: the cross-border messaging network (not the money itself) — banks settle via correspondents/nostro accounts. - **Correspondent banking / nostro-vostro**: your bank holds an account (nostro) with a foreign bank to settle that currency.

Bank connectivity — three ways a corporate talks to its banks:

Channel	What it is	Use when
SWIFT (via service bureau / Alliance Lite2)	Bank-neutral network; one pipe to many banks	Multi-bank, global, high volume
Host-to-host (H2H)	Direct secure file transfer (SFTP) to one bank	High volume with a single core bank
API	Real-time calls (balances, payments, status)	Modern, instant balances & payment status

Message formats. MT = legacy SWIFT (FIN); MX = ISO 20022 XML, now the global standard (SWIFT MT→MX migration completed Nov 2025 for cross-border payments).

Purpose	Legacy MT	ISO 20022 MX
End-of-day statement	MT940	camt.053
Intraday statement	MT942	camt.052
Credit transfer (single/bulk)	MT103 / MT101	pain.001
Payment status report	—	pain.002
Bank-to-corp confirmation	MT900/910	camt.054

Bank Account Management (BAM). The authoritative register of every bank account: bank, number, currency, purpose, signatories, mandates, and open/close status. Weak BAM = zombie accounts, fraud risk, failed audits. TMS modules or eBAM (ISO 20022 acmt messages) automate opening/closing with the bank.

Hands-on — step by step

Task 1 — run a physical (ZBA) cash pool for four Indian entities, one currency (INR), end of 14-Jul-2026. Header = concentration account. End-of-day operating balances before sweep:

- Entity A: +₹3.00 cr
- Entity B: −₹1.20 cr (overdrawn)
- Entity C: +₹0.80 cr
- Entity D: −₹0.40 cr

Step 1 — Net the pool. $3.00 - 1.20 + 0.80 - 0.40 = \text{+₹2.20 cr}$ net long.

Step 2 — Sweep to zero. Each account moves its balance to/from the header:

A → header	+3.00	header → B	+1.20
C → header	+0.80	header → D	+0.40

Header end balance = 2.20 cr; every operating account = 0.

Step 3 — Book intercompany. Each sweep is an IC loan with the header/IHB. A and C are IC *lenders* to the pool; B and D are IC *borrowers*. Balances carried on IHB current accounts.

Step 4 — Cost the benefit vs standalone. Without pooling, B and D borrow externally at, say, 9% and A and C earn 5% on deposits. Pooled, the group only has a net +2.20 cr and B/D's overdrafts are funded

internally.

- Overdraft interest avoided: $(1.20 + 0.40) \text{ cr} \times (9\% - 5\%) \text{ spread} / 365 \text{ per day} = 1.60 \text{ cr} \times 4\% / 365 = \text{₹1,753/day} \approx \text{₹6.4 lakh/year}$ just on this snapshot spread. Scaled across the year and all entities, pooling saves real money — that's the pitch.

Step 5 — Charge internal interest. Header pays A and C, charges B and D, at a policy IC rate (e.g. overnight benchmark + spread), booked monthly on the IHB accounts.

Task 2 — a 4-week slice of the rolling forecast (₹ cr):

Week	Opening	Collections	AP + payroll	Tax/debt	Net	Closing
W1	2.20	5.0	-4.2	-0.6	+0.2	2.40
W2	2.40	4.5	-5.0	0.0	-0.5	1.90
W3	1.90	6.2	-4.8	-1.5	-0.1	1.80
W4	1.80	4.0	-4.6	0.0	-0.6	1.20

W4 closing ₹1.20 cr is near the ₹1.00 cr minimum — flag it now and pre-arrange line drawdown or delay a discretionary payment.

Task 3 — execute a supplier payment. Domestic ₹4.6 cr → RTGS via H2H: TMS generates a **pain.001** file, pushes it over SFTP to the bank, bank returns **pain.002** (accepted), and next morning **camt.053** confirms the debit for reconciliation. Cross-border USD would go as pain.001 → correspondent → beneficiary bank, tracked via SWIFT gpi.

The output

Daily cash-pool & sweep report — 14-Jul-2026 (₹ cr)

Entity	Pre-sweep	Sweep	Post	IC position (with IHB)	
A	+3.00	-3.00	0.00	IC receivable	3.00
B	-1.20	+1.20	0.00	IC payable	1.20
C	+0.80	-0.80	0.00	IC receivable	0.80
D	-0.40	+0.40	0.00	IC payable	0.40
Header	-	+2.20	2.20	net pool long	2.20

External position: single +2.20 cr, invested overnight.

Overdraft interest avoided today $\approx$ ₹1,753 (1.60cr @ 4% spread).

Payment executed: RTGS ₹4.60 cr, channel H2H,
pain.001 sent 11:04, pain.002 ACSC 11:05, camt.053 T+1 tie-out.

Liquidity flag: W4 closing 1.20cr vs 1.00cr min — arrange headroom.

Checks, gotchas & red flags

- **Notional pooling is restricted in India.** RBI/FEMA limit resident notional pooling and cross-border sweeps — don't propose a global notional pool for Indian entities without checking; domestic ZBA is the

usual answer.

- **Every physical sweep is an intercompany loan** — needs an IC agreement, arm's-length interest, and transfer-pricing/thin-cap awareness. Auditors will ask.
- **Sweep must leave accounts funded, not just zeroed** — a ZBA that zeroes an account with a cheque still clearing causes a return.
- **ISO 20022 migration is done for cross-border (Nov 2025)** — MT103/MT202 are being retired; make sure files are camt/pain, not legacy MT, or payments reject.
- **BAM hygiene:** unknown or dormant accounts are the top audit finding and a fraud vector. Reconcile the account register to bank confirmations.
- **Forecast variance:** if actuals keep beating/missing forecast, the AR/AP feed is stale — fix inputs, don't just widen buffers.
- **Value date vs booking date** again governs pooling — sweep on cleared funds.

Interview drill

Q: Notional vs physical pooling — when would you use each, and what's the India catch? A: Notional pooling offsets balances on the bank's books with no cash movement and no intercompany loans — clean, but it needs one bank and cross-guarantees, and in India RBI/FEMA restrict resident and cross-border notional pooling. Physical pooling (ZBA) sweeps real cash to a header account, creating intercompany loans that need agreements and arm's-length interest; it works across banks and is the practical domestic route. For an Indian group I'd default to domestic ZBA and keep any notional/cross-border structure offshore and legally cleared.

Q: What's the difference between SWIFT, host-to-host, and API connectivity? A: SWIFT is a bank-neutral network — one pipe to many banks, ideal for multi-bank global setups. Host-to-host is a direct secure SFTP link to a single bank, good for high volume with a core bank. APIs are real-time calls for instant balances and payment status. Many corporates run H2H or SWIFT for bulk payments and APIs for real-time visibility.

Q: What is MT940 and what's replacing it? A: MT940 is the legacy SWIFT end-of-day bank statement used to reconcile and build the cash position. It's being replaced by ISO 20022 camt.053 (XML), which carries richer structured data; the cross-border MT-to-MX migration completed in November 2025, so treasuries should be consuming camt messages now.

Learn/practise (free)

- **SWIFT / ISO 20022 (iso20022.org)** — free message specs; read a camt.053 and a pain.001 sample to see the XML structure.
- **RBI website** — FEMA master directions on cash management, pooling, and cross-border remittances (authoritative and free).
- **Bank corporate-banking demos** (HDFC, ICICI, Citi, JPMorgan) publish free H2H/API and pooling brochures.
- **Build the 13-week cash flow** in Excel from a mock AR/AP ledger and track weekly actual-vs-forecast variance — this is the single most requested treasury deliverable.
- **Practise the sweep math:** take four random balances, net them, write the sweep entries and the IC positions, and compute the overdraft-interest saved. Repeat until it's automatic.

- **APIthon / bank sandbox APIs** (some Indian banks and Swift's developer portal) let you call balance and payment-status endpoints free for practice.

Debt, Investments & Treasury Risk Policy

What you'll be able to do

Structure and track a company's borrowings and short-term investments, measure and hedge interest-rate risk, set and monitor counterparty limits, and write the treasury policy and control framework that keeps all of it inside the board's risk appetite. You'll compute an interest-rate exposure and the cost/benefit of a payer swap, build a counterparty-limit table, list the KPIs a treasurer reports, and know exactly what the CTP (Certified Treasury Professional) credential covers. This is the "run the balance sheet's financing side, safely" skill set.

The essentials

Borrowings & facilities.

Instrument	Tenor	Notes
Overdraft / cash credit	On demand	Working-capital float; costly, flexible
Working-capital demand loan / WC DL	Short	Cheaper than OD for a known need
Commercial paper (CP)	7 days–1 yr	Unsecured, for strong credits; discount instrument
Term loan	1–10+ yr	Project/capex; fixed or floating
NCD / bond	Medium–long	Capital-market debt, rated
Committed line (RCF)	Multi-year	Undrawn backstop; pay a commitment fee for headroom

Committed vs uncommitted: a committed facility (RCF) the bank *must* lend under, for a fee — that's your liquidity insurance. Uncommitted is available "subject to bank discretion" and can vanish when you most need it.

Short-term investments (surplus cash) — ranked by the policy priority **security** → **liquidity** → **yield** (in that order): - Liquid/overnight mutual funds, TREPS, T-bills, bank FDs, high-grade CP/CD. Never chase yield with credit or duration you can't justify.

Interest-rate risk. Floating-rate debt (linked to MIBOR/MCLR/repo/SOFR) means rising rates raise your interest cost. Measured by **repricing gap** (fixed vs floating mix) and sensitivity to a rate move (e.g. +100 bps). Hedge by: - **Interest-rate swap (IRS):** pay fixed / receive floating to convert floating debt to fixed. - **Cap:** buy protection above a strike (option; premium; keeps downside). - **FRA:** lock a forward rate for one period.

Counterparty (credit) risk. The risk a bank/issuer you deposit with or trade with defaults. Controlled by **limits:** a maximum exposure per counterparty, set by their credit rating, and monitored daily. Spread cash across names; don't put all surplus in one bank.

Treasury policy — the board-approved rulebook. Core contents: 1. Objectives & risk appetite. 2. Governance & delegated authorities (dealing mandates, limits). 3. Approved instruments & prohibited

activities. 4. Counterparty limits & rating floors. 5. Hedging policy (what, how much, horizon). 6. Liquidity & minimum-buffer rules. 7. Segregation of duties & controls. 8. Reporting & KPIs.

KPIs a treasurer reports: liquidity headroom (cash + undrawn committed lines), net debt & gearing, weighted-average cost of debt, fixed/floating ratio, debt maturity profile (no cliff), hedge ratio / hedged %, forecast accuracy, counterparty concentration, days cash on hand, bank fees.

The CTP. *Certified Treasury Professional*, issued by the **AFP (Association for Financial Professionals, US)** — the global benchmark treasury credential. Covers cash & liquidity management, capital markets & funding, FX and interest-rate risk, working capital, treasury tech and controls. Eligibility is work-experience based; it's the credential treasury job ads name most. (UK equivalent: the ACT's AMCT/CertICM.)

Hands-on — step by step

Scenario. A company has **₹100 cr term debt**: ₹60 cr floating at **MIBOR + 200 bps**, ₹40 cr fixed at 8.0%. Current 3-month MIBOR = 6.5%. Board policy: keep at least **60% of debt fixed**. Also, ₹30 cr surplus cash to place under a counterparty-limit policy.

Step 1 — Current fixed/floating mix. Fixed = 40/100 = **40%**. Policy floor 60%. **Breach** — too much floating; must fix at least another ₹20 cr.

Step 2 — Current interest cost (annual). - Floating ₹60 cr at 6.5% + 2.0% = 8.5% → ₹5.10 cr - Fixed ₹40 cr at 8.0% → ₹3.20 cr - **Total = ₹8.30 cr; WACD = 8.30%.**

Step 3 — Rate-shock sensitivity (+100 bps). Only floating reprices: ₹60 cr × 1% = **+₹0.60 cr** extra interest per year per 100 bps. That's the exposure the board cares about.

Step 4 — Hedge to policy: pay-fixed IRS on ₹20 cr. Enter a 3-year IRS: **pay fixed 7.2%, receive 3M MIBOR** on ₹20 cr notional. This converts ₹20 cr of floating to fixed → new mix fixed 60% / floating 40% — **back in policy.**

Effect on that ₹20 cr: - Was paying MIBOR+200 = 8.5% (at today's MIBOR). - Now pays: swap fixed 7.2% + the 200 bps loan margin – receive-leg offsets the MIBOR in the loan → effective ≈ **7.2% + 2.0% = 9.2%** locked, *regardless of where MIBOR goes*. - You pay ~0.7% more than today's floating cost to remove the risk of rates rising. If MIBOR rises above ~7.0%, the swap pays off.

Step 5 — Sensitivity after hedge. Floating now ₹40 cr → +100 bps = **+₹0.40 cr** (down from ₹0.60 cr). Exposure cut by a third, mix compliant.

Step 6 — Place the ₹30 cr surplus under counterparty limits. Policy: max exposure per bank by rating.

Counterparty	Rating	Limit	Placed	Instrument
Bank A (AAA)	AAA	₹15 cr	₹12 cr	Liquid fund / FD
Bank B (AAA)	AAA	₹15 cr	₹10 cr	TREPS
Bank C (AA+)	AA+	₹8 cr	₹8 cr	91-day T-bill via C
Total			₹30 cr	within all limits

No single name over its limit; no sub-AA credit used. Security and liquidity satisfied before yield.

The output

Treasury debt & risk dashboard — Jul-2026

DEBT PROFILE

Total debt ₹100.0 cr
Fixed / Floating (pre-hedge) 40% / 60% → POLICY BREACH (min 60% fixed)
Action: pay-fixed IRS ₹20 cr @ 7.2% (3y)
Fixed / Floating (post-hedge) 60% / 40% → COMPLIANT
WACD 8.30% (pre) → ~8.44% (post, locked)

INTEREST-RATE SENSITIVITY (+100 bps, annual)

Pre-hedge +₹0.60 cr
Post-hedge +₹0.40 cr (exposure cut 33%)

INVESTMENTS (₹30 cr surplus)

All placements within counterparty limits; min rating AA+;
priority security > liquidity > yield satisfied.

KPIs

Liquidity headroom ₹18 cr cash + ₹25 cr undrawn RCF = ₹43 cr
Net debt / EBITDA 1.8x Hedge ratio 60% fixed
Debt maturities no single year > 30% of total (no cliff)
Counterparty conc. max 12/30 = 40% (within 50% cap)

Checks, gotchas & red flags

- **Security and liquidity beat yield — always.** An investment policy that reaches for return on surplus operating cash is the classic blow-up (think of firms caught in a bank failure with over-limit deposits).
- **Committed ≠ uncommitted headroom.** Only *committed* undrawn lines count as real liquidity insurance; uncommitted can be pulled.
- **A swap hedges rate risk but adds counterparty & MTM risk.** The swap has its own credit exposure and mark-to-market volatility; hedge accounting (cash-flow hedge on floating debt) keeps the MTM out of P&L.
- **Policy floors are hard limits, not targets** — a 40% fixed ratio against a 60% floor is a breach to report and fix, not to average away.
- **Maturity cliffs kill companies.** Watch the refinancing profile — never let a large slug of debt mature in one window.
- **Limit monitoring must be daily and independent** (middle office), on current exposure including accrued interest, not month-end snapshots.
- **CP/short debt rolls over** — funding liquidity risk: if the market shuts, can you refinance? Keep committed backstop lines behind CP programmes.

Interview drill

Q: How do you measure and hedge interest-rate risk on a debt portfolio? A: Measure the fixed/floating mix and the repricing gap, then shock the floating portion — e.g. +100 bps on ₹60 cr floating is ₹0.60 cr extra annual interest. If that exposure or the floating share breaches policy, I'd hedge with a pay-fixed / receive-floating interest-rate swap to convert floating debt to fixed, or buy a cap if I want to keep the downside. Post-hedge I re-run the mix and the rate shock to confirm I'm inside the board's limit, and I'd apply cash-flow hedge accounting so the swap's MTM sits in OCI, not P&L.

Q: What's the priority order for investing surplus cash, and why? A: Security, then liquidity, then yield. Surplus operating cash exists to be available and safe — a small extra return never justifies principal risk or being locked up when you need it. So I'd use high-grade, short, liquid instruments (liquid funds, TREPS, T-bills, top-rated FDs) spread across counterparties within per-name limits, and only optimise yield within those constraints.

Q: What goes in a treasury policy and what's the CTP? A: A treasury policy sets objectives and risk appetite, governance and delegated dealing authorities, approved and prohibited instruments, counterparty limits and rating floors, the hedging and liquidity rules, segregation of duties, and reporting/KPIs — the board's rulebook that keeps treasury inside its mandate. The CTP is the AFP's Certified Treasury Professional, the leading global treasury credential, covering cash and liquidity, funding and capital markets, FX and rate risk, and treasury controls.

Learn/practise (free)

- **AFP (afponline.org)** — free CTP exam outline and sample questions; read the body-of-knowledge domains.
- **ACT Treasurer's Wiki** — free, high-quality entries on facilities, swaps, investment policy, and counterparty limits.
- **RBI & FIMMDA** — free reference for MIBOR/MIFOR, T-bill auctions, TREPS, and CP guidelines in India.
- **Build the dashboard** above in Excel from a mock debt schedule: compute fixed/floating %, WACD, the +100 bps sensitivity, and a swap that restores policy — then write the one-page action note.
- **Draft a two-page treasury policy** for a fictional mid-cap: appetite, limits, approved instruments, KPIs. Recruiters love seeing you can write one.
- **CFA / FRM interest-rate risk readings** and **Corporate Finance Institute** free articles cover swaps, gap analysis, and investment policy statements.

Finance Business Partnering & Influence

What you'll be able to do

Walk into a room where you own none of the P&L levers — sales, ops, pricing, headcount — and change the decision anyway. By the end of this chapter you can map stakeholders, land a "credible challenge" that a commercial head actually accepts, translate a number into a decision, and run a partnering conversation that ends in a committed action, not a note-taking exercise. This is the difference between an FP&A analyst who emails a variance pack and a finance business partner (FBP) whom the sales VP calls *before* signing the deal.

The essentials

Scorekeeper vs. business partner. The scorekeeper reports what happened; the partner changes what happens next. Same data, different job.

Dimension	Scorekeeper	Business partner
Tense	Past ("margin fell 180 bps")	Future ("here's how to claw back 120 bps in Q3")
Trigger	Month-end close	The decision, before it's made
Output	Variance pack	A recommendation with a number attached
Relationship	Sends reports	Sits in the deal review
Success metric	Accurate & on time	Decision changed, value captured

Influence without authority. You can't *tell* the sales head to reprice. Six levers (Cialdini, adapted): reciprocity (do their analysis first), consistency (tie the ask to a goal they already committed to), social proof ("the other region already did this"), authority (your credibility + data), liking (relationship), scarcity ("this window closes at quarter-end"). In finance, **authority through competence + reciprocity** carry the most weight.

Credible challenge. A regulated concept (RBI/Basel use it for risk functions) that generalises: challenge that is *specific, evidenced, and offered as a partner*, not a gotcha. Formula: **Acknowledge the goal → surface the number that threatens it → offer a path.** "You want to hit ₹50 cr bookings — this discount structure gets you the logo but at 9% margin vs. our 22% floor; here are two ways to keep the logo *and* the margin." You challenge the *decision*, never the person.

Commercial finance. Owning the economics of a decision: deal pricing, discount governance, customer/product profitability, unit economics (CAC, LTV, contribution margin per unit), make-vs-buy. It's FP&A pointed at the front line rather than at the board pack.

Stakeholder mapping (power/interest grid). Plot each stakeholder on *power to affect the decision* × *interest in it*. Manage closely (high/high), keep satisfied (high power/low interest), keep informed (low power/high interest), monitor (low/low). Re-map per decision — the CFO is high-power on capex, low-interest on a single SMB discount.

Hands-on — step by step

Scenario. You're the FBP for the North sales region of a SaaS firm. The regional head, Priya, wants to close a ₹2 cr annual contract with a large retailer by giving a **35% discount** plus 90-day payment terms. Q-end is 12

days away and it would put her at 104% of target. Your job: partner, not police.

Step 1 — Do the analysis before the meeting (reciprocity). Build the deal economics.

- List price ARR: ₹2.00 cr
- Discount 35% → Net ARR: ₹1.30 cr
- Gross margin at 78% → Gross profit: ₹1.014 cr
- CAC (sales commission + onboarding): ₹22 lakh
- Payment terms 90 days → carrying cost at 11% WACC on ₹1.30 cr for 90 days ≈ ₹3.6 lakh
- Discount floor policy: 20% without CFO sign-off

Step 2 — Find the "so what." At 35% the deal breaches the 20% self-approval floor and drags regional blended discount from 18% to 23%, which resets the anchor for every renewal in that segment. The *real* cost isn't this deal's ₹70 lakh of forgone ARR — it's the precedent.

Step 3 — Build two paths (never arrive with only "no"). - **Path A:** 35% for **2-year** commitment (locks ₹2.6 cr, amortises the discount). - **Path B:** 25% discount + standard 30-day terms + a phased seat ramp; nets ₹1.50 cr ARR, stays defensible, still closes this quarter.

Step 4 — Map stakeholders for this decision.

Stakeholder	Power	Interest	Play
Priya (regional head)	High	High	Manage closely — co-own the recommendation
CFO	High	Medium	Keep satisfied — she signs the exception
Deal-desk lead	Medium	High	Keep informed — enforces the floor
Customer procurement	High	High	Priya's to manage; arm her

Step 5 — Run the conversation (credible challenge). 1. *Acknowledge the goal:* "You're at 104% with this — I want it to close." 2. *Surface the number:* "At 35% we're below the 20% floor, so it needs CFO sign-off anyway, and it moves regional blended discount to 23% — that's the anchor every renewal negotiates from next year." 3. *Offer the path:* "Two ways to still close in 12 days and protect that anchor — a 2-year lock at your 35%, or 25% with normal terms. I'll build whichever you pick into the deal-desk request tonight."

Step 6 — Close with a committed action. Not "let me know." Instead: "Can you sound out procurement on the 2-year lock by Thursday? If they bite, I'll have CFO approval ready Friday."

The output

The artefact is a **one-page deal recommendation** you leave behind:

Deal: North / BigRetailer — ₹2 cr ARR Recommendation: Pursue Path A (35% @ 2-yr lock). Fallback Path B (25% @ std terms). **Why:** 35% single-year breaches 20% floor (needs CFO sign-off) and lifts regional blended discount 18%→23%, resetting the renewal anchor. 2-yr lock captures ₹2.6 cr and amortises the concession. **Economics (Path A):** Net ARR ₹1.30 cr/yr; GM 78%; CAC ₹22 L; payback ~4.3 mo. **Ask:** Priya to test 2-yr with procurement by Thu; FBP to secure CFO exception by Fri. **Owner / date:** Priya + FBP / this quarter-end.

Checks, gotchas & red flags

- **Ties out:** net ARR, discount %, and blended-discount impact must reconcile to the deal-desk model and the pricing policy — one wrong % and your credibility is gone.
- **Red flag — the "abominable no-man."** If your only contribution is blocking deals, you'll be routed around. Every "no" needs a costed alternative.
- **Red flag — analysis with no recommendation.** Handing over a spreadsheet is scorekeeping. Partners take a position.
- **Gotcha — challenging the person, not the decision.** "Your discounting is reckless" loses the room; "this discount resets the anchor" keeps it.
- **Gotcha — skipping reciprocity.** Bring their analysis done. People accept challenge from someone who's already saved them work.
- **Independence:** partnering ≠ becoming an advocate. You still own the floor; you help them win *within* it.

Interview drill

Q1. "A sales head wants a discount that breaks policy and it's quarter-end. What do you do?" "I don't lead with the policy. I build the deal economics first, find the real cost — usually the precedent it sets on renewal anchors, not the one deal — then acknowledge their target, surface that number, and bring two costed paths that still close on time. I close with a committed action and an owner. I protect the floor by making the defensible option the easy option, not by saying no."

Q2. "How do you influence someone who doesn't report to you and outranks you?" "Competence and reciprocity. I do their analysis before they ask, so the ask arrives as help. I tie my recommendation to a goal they already own publicly, and I give social proof from peers who did it. Authority comes from being right on the numbers, repeatedly — that's the only durable currency."

Q3. "What's a 'credible challenge' and how is it different from just disagreeing?" "Disagreeing is a position; credible challenge is specific, evidenced, and offered as a partner. Acknowledge the goal, show the number that threatens it, offer a path. It challenges the decision, never the person, and it always comes with an alternative — otherwise it's just an obstacle."

Learn/practise (free)

- **Cialdini, *Influence*** — the six levers; free summaries and his TED talks.
- **CIMA / ICAEW "finance business partnering"** frameworks — free articles define the scorekeeper-to-partner shift with rubrics.
- **Rehearse free:** take any decision in your own life (a purchase, a project) and write the one-page recommendation above — goal, so-what number, two paths, committed action. Do ten and the structure becomes automatic.
- **Deal-economics reps:** rebuild a public SaaS company's unit economics (CAC, LTV, contribution margin) from its investor deck in Excel — free filings, real numbers, exactly the muscle commercial finance uses.
- **Power/interest grid:** map the stakeholders of any real project you're on; predict who blocks it. Check your prediction against what actually happens.

Data Storytelling & Executive Communication

What you'll be able to do

Take a messy variance and turn it into a message a CFO reads in 20 seconds and acts on. By the end you can structure any communication with SCQA and the Minto pyramid, pass the "so-what" test, write board narrative that says something, build an executive one-pager, design a single board slide that survives scrutiny, and hold your own in a Q&A or balance-sheet review call without getting flustered. This is the skill that decides whether your analysis ever reaches a decision — brilliant work communicated badly is invisible.

The essentials

The core failure. Analysts write *bottom-up* (here's everything I did, conclusion at the end). Executives read *top-down* (answer first, support on demand). You must invert.

SCQA (Minto). The setup for any message: - **Situation** — the stable context everyone agrees on. - **Complication** — what changed / the tension. - **Question** — the question the complication raises. - **Answer** — your recommendation. *This goes first in delivery.*

The Minto Pyramid. One governing thought at the top, supported by 3-4 grouped arguments, each backed by data. Two rules: arguments must be **MECE** (mutually exclusive, collectively exhaustive) and each group must genuinely *support* the thought above it. You present the top; you drill down only if challenged.

The so-what test. After every sentence, ask "so what?" If the sentence doesn't change what the reader thinks or does, cut it or push it further. "Revenue fell 8%" → so what? → "Revenue fell 8%, all of it in the North region, all of it one churned account — which is recoverable." Keep asking until you hit an action.

Signal vs. noise. Executives have ~30 seconds. One message per artefact. Numbers rounded to the precision that matters (₹4.2 cr, not ₹4,23,71,559). Colour used to mean something, never for decoration.

Executive presence. Calm, brief, owns the number (good or bad), says "I don't know — I'll have it by 3pm" rather than bluffing. Presence is mostly *not* panicking and *not* over-explaining.

Hands-on — step by step

The raw material. You're closing the month. Gross margin came in at 61% vs. 64% budget — a 3-point miss. Digging in: freight costs spiked (new supplier), one product line (SKU-7) was over-discounted to clear inventory, and FX on imported components moved against you. Freight is the biggest chunk and it's structural; the discount was one-off; FX is ~30 bps.

Step 1 — Find the one message (so-what). "GM missed budget by 3 pts" → so what? → the *composition* matters: half is a fixable supplier problem, a quarter is one-off, a quarter is FX. So what? → **"The margin miss is mostly a fixable freight issue — action already in motion — not a demand problem."** That's your governing thought.

Step 2 — Build the pyramid (MECE). Governing thought supported by three drivers that sum to the 3-point miss:

Driver	Impact	Nature	Action
Freight (new supplier)	-1.6 pts	Structural, fixable	Re-tender in progress, back to plan by Q3
SKU-7 clearance discount	-0.8 pt	One-off	Inventory cleared, won't repeat
FX on components	-0.6 pt	Market	Hedge 60% forward from next month
Total	-3.0 pts		

They're MECE and they tie exactly to the variance — that's what makes it credible.

Step 3 — Draft the commentary top-down. Answer first, then the three drivers, then the action.

Step 4 — Write it once badly (before), then fix it (after).

BEFORE (analyst-style, bottom-up, no so-what):

During the month we onboarded a new freight vendor as the previous contract expired, and rates were higher than anticipated. Additionally, the SKU-7 product line required promotional activity to reduce ageing inventory as previously discussed in the S&OP meeting. There were also foreign exchange movements on our imported components due to rupee depreciation. As a result of these factors, gross margin for the month came in at 61.0% against a budget of 64.0%, a variance of 3.0 percentage points, which we are continuing to analyse.

AFTER (exec-style, top-down, so-what):

Gross margin missed budget by 3.0 pts (61% vs 64%) — but it's mostly a fixable freight problem, not a demand issue. Breakdown: freight from the new supplier cost 1.6 pts (re-tender under way, back to plan by Q3); a one-off SKU-7 clearance cost 0.8 pt (won't repeat); FX on components cost 0.6 pt (hedging 60% forward from next month). Underlying demand and pricing are on plan. **Ask:** approve the forward hedge; no action needed on demand.

The *after* leads with the answer, is MECE, ties to the variance, and ends with a decision.

Step 5 — Design the board slide. One slide, one message. - **Title = the message, not the topic.** "Margin miss is a fixable freight issue, back to plan by Q3" — never "Gross Margin Analysis." - **One chart:** a waterfall from 64% budget → -1.6 freight → -0.8 SKU-7 → -0.6 FX → 61% actual. The waterfall is the argument. - **Three annotation callouts**, colour-coded: red (structural/freight), grey (one-off), amber (FX). - **Footer:** the ask, in one line. - No logos, no clip-art, no 8-point footnotes.

Step 6 — Prep the Q&A / BS-review. List the three questions a director will actually ask and pre-write the answer: (a) "Is freight permanent?" — "No, re-tender by Q3, expect 1.2 pts back." (b) "Why over-discount SKU-7?" — "Ageing inventory; the write-down avoided was larger than the margin hit." (c) "What's the FX exposure going forward?" — "₹X cr/quarter; hedging 60%." Rehearse the number you'll get pushed on.

The output

The finished artefacts:

Board one-pager (top half):

Margin — 3-pt miss is mostly fixable freight, back to plan by Q3 GM 61% vs 64% budget. Freight (new supplier) –1.6 pts, re-tender under way. SKU-7 clearance –0.8 pt, one-off. FX –0.6 pt, hedging 60% fwd. Demand and pricing on plan. **Decision requested:** approve forward FX hedge (60% of component exposure).

Board slide: title = the message; a single budget-to-actual GM waterfall with three colour-coded callouts; footer = the ask. Backup slides (not shown) hold the SKU-level detail for the Q&A.

Checks, gotchas & red flags

- **Ties out:** the drivers in your narrative must sum exactly to the headline variance ($1.6 + 0.8 + 0.6 = 3.0$). If they don't, a director will find the gap and you lose the room.
- **Red flag — topic titles.** "Q3 Revenue Review" tells the reader nothing. The title must be the takeaway.
- **Red flag — burying the answer.** If your recommendation is in the last paragraph, executives never reach it.
- **Gotcha — false precision.** ₹4,23,71,559 signals you don't know what matters. Round to the decision-relevant digit.
- **Gotcha — one slide, many messages.** If a slide needs a second message, it needs to be a second slide.
- **Gotcha — bluffing in Q&A.** "I'll confirm by 3pm" beats a confident wrong number every time; the wrong number costs you the next ten meetings.

Interview drill

Q1. "Walk me through how you'd present a bad number to the board." "Answer first, framed by so-what. Lead with the message — say, the margin miss is mostly a fixable freight issue, not demand. Then a MECE breakdown of the drivers that ties exactly to the variance, each with its nature and the action. End with the specific decision I need. I own the bad number calmly and I bring the fix, not just the diagnosis. The slide title is the takeaway, and there's backup detail behind it for the questions I know are coming."

Q2. "What's the so-what test?" "After each sentence I ask 'so what?' until I reach something that changes what the reader thinks or does. 'Revenue fell 8%' isn't a message; 'revenue fell 8%, all one churned account, and it's recoverable' is. It forces every line to earn its place and pushes analysis toward an action."

Q3. "SCQA — use it on a real example." "Situation: we budgeted 64% gross margin. Complication: we came in at 61%. Question: is this a demand problem? Answer: no — it's mostly a fixable freight cost, one-off discount, and FX, and the freight fix is already under way. In delivery I say the answer first, then walk the SCQA only if they want the build-up."

Learn/practise (free)

- **Barbara Minto, *The Pyramid Principle*** — the source; free summaries and lecture notes cover SCQA and MECE.
- **Cole Nussbaumer Knaflic, *Storytelling with Data*** — free blog and monthly makeover challenges; do the makeovers.
- **McKinsey / BCG communication guides** — free articles on the pyramid and "action titles."

- **Rehearse free:** take any chart from a company's annual report, write a topic title, then rewrite it as an action title (the takeaway). Do 20.
- **Before/after reps:** grab your own past emails or a public earnings-call transcript, rewrite one paragraph top-down with a so-what lead. Read both aloud — the difference is audible.
- **Waterfall practice:** in Excel or Power BI, build a budget-to-actual bridge for any metric and give it an action title. That single chart is the most-used exec-comms artefact in finance.

Treasury & Partnering Interview Drills + Cheat-Sheet

What you'll be able to do

Sit across from a treasury or FP&A panel and handle the four cases they actually run: price and book a forward hedge, build and defend a cash-flow forecast, tell a partnering/influence story that lands, and present a recommendation to a "CFO" on the spot. You'll also carry a one-page cheat-sheet of treasury terms, hedge mechanics, and communication frameworks you can revise on the train to the interview. This chapter assumes you've read the treasury and partnering chapters; it's the rehearsal and the quick-reference.

The essentials

Interview cases test whether you can *do the job out loud*: get the mechanics right, tie the numbers, state a recommendation, and stay calm under a follow-up. The pattern for every answer: **state the answer** → **show the mechanics** → **tie the number** → **name the risk/what you'd verify**. Never narrate your whole thought process without landing a conclusion.

Hands-on — step by step (four drills)

Drill 1 — Price and book a forward hedge

Prompt. "You're a treasury analyst. Your firm imports components and will pay **USD 1,000,000 in 90 days**. Spot USD/INR is **83.20**. You want to hedge with a forward. How do you price it and what do you book?"

Answer. 1. **Direction.** We're *short* USD (we owe dollars), so we **buy USD forward** — lock the rate today. 2. **Forward rate = spot × (1 + INR rate × t) / (1 + USD rate × t).** Say INR 90-day rate 7%, USD 5.5%, $t = 90/360 = 0.25$. - Forward = $83.20 \times (1 + 0.07 \times 0.25) / (1 + 0.055 \times 0.25) = 83.20 \times 1.0175 / 1.01375 \approx \mathbf{83.51}$. - The ~31 paise premium reflects the interest-rate differential (INR trades at a forward premium because its rate is higher) — *not* a rupee "view." 3. **Locked cost.** USD 1,000,000 × 83.51 = **₹8.351 cr**, fixed, regardless of where spot goes. 4. **Accounting (cash-flow hedge, Ind AS 109).** Designate the forward as a hedge of a highly probable forecast purchase. Effective portion of fair-value change goes to **OCI / cash-flow hedge reserve**; on settlement it reclassifies to the cost of the components. Document the hedge relationship at inception and test effectiveness. 5. **What I'd verify live:** the actual USD and INR money-market rates, whether we book a forward or buy an option (if the purchase is only *probable*), and the counterparty credit line.

Why this scores: you gave direction, the exact formula, a tied number, the accounting, and named the verification. That's a treasury hire's answer.

Drill 2 — Build a cash-flow forecast

Prompt. "Build a 13-week cash-flow forecast. Walk me through it."

Answer. 1. **Why 13 weeks:** it's the treasury standard — a full quarter, weekly granularity, short enough to be accurate, long enough to see a crunch coming. 2. **Method — direct, not indirect.** Start with **opening cash**, add **receipts** (collections from AR ageing, not revenue), subtract **disbursements** (payroll, supplier payments from AP ageing, tax, debt service, capex), get **closing cash** = next week's opening. 3. **Worked week:** Opening ₹5.0 cr + receipts ₹3.2 cr – payroll ₹1.1 cr – suppliers ₹2.4 cr – GST ₹0.4 cr = **closing ₹4.3 cr**. Roll

13 times. 4. **The output that matters:** the *minimum* closing balance across 13 weeks vs. the **minimum operating cash / covenant floor**. If week 7 dips below the floor, that's the message — flag it now, arrange the working-capital line before it's urgent. 5. **Drivers to stress:** collection timing (push AR out a week), a delayed large receipt, a tax outflow. Treasury lives on *timing*, not P&L. 6. **Verify live:** actual AR/AP ageing, confirmed vs. expected receipts, and the covenant definition of "cash."

Drill 3 — A partnering / influence situation (STAR)

Prompt. "Tell me about a time you influenced a decision you didn't control."

Answer (STAR). - **Situation:** A regional sales head wanted a 35% discount that breached our 20% self-approval floor, at quarter-end. - **Task:** Protect the discount floor without killing a deal that hit her target. - **Action:** I built the deal economics *before* the meeting, found the real cost was the renewal anchor it would reset — not the single deal — acknowledged her target, showed her that number, and brought two costed paths that still closed on time. I closed with a committed action and an owner. - **Result:** She took the 2-year lock; we captured ₹2.6 cr, kept the blended discount intact, and she now calls me before she prices, not after. *That last line is the point — I became a partner, not a policeman.*

Drill 4 — "Present this to the CFO" case

Prompt. "Gross margin missed budget by 3 points. Present it to me as the CFO. Go."

Answer (top-down, so-what, 25 seconds). "Margin came in at 61% versus 64% budget — but it's **mostly a fixable freight issue, not a demand problem**. Three drivers, and they tie to the full 3 points: freight from the new supplier is 1.6 points, re-tender under way, back to plan by Q3; a one-off SKU-7 clearance discount is 0.8 point and won't repeat; FX on imported components is 0.6 point, and I'd like to hedge 60% forward. Demand and pricing are on plan. **The one decision I need from you is approval of the forward hedge.**" Then stop — let the CFO ask. Have the SKU detail ready as backup.

The output — the cheat-sheet

Treasury terms

Term	Meaning
Spot / forward	Rate for immediate / future-dated FX settlement
Forward premium/discount	Currency trades above/below spot due to rate differential
Forward points	The premium/discount in pips added to spot
NDF	Non-deliverable forward — cash-settled, for restricted currencies
Swap (FX)	Simultaneous spot buy + forward sell (or vice versa)
MTM	Mark-to-market — current fair value of an open position
Notional	Face amount a derivative is based on
Netting	Offsetting receivables/payables to reduce settlement volume
Sweep / pooling	Concentrating group cash into one account
13-week CFF	Direct-method rolling weekly cash forecast
Covenant	Lender condition (e.g., min DSCR, max leverage)
WACC	Weighted average cost of capital — the carry/discount rate
Value date	Date a payment actually settles

Hedge types

Instrument	Use	Payoff	Cost
Forward	Lock a known future FX/rate flow	Symmetric — locked rate, no upside	No premium; opportunity cost
Futures	Exchange-traded lock	Symmetric, daily margined	Margin, basis risk
Option	Protect but keep upside	Asymmetric — floor/cap	Premium paid
Swap (IRS)	Convert floating↔fixed rate	Exchange of rate flows	Spread
Collar	Bounded protection cheaply	Cap + floor	Low/zero net premium

Hedge accounting (Ind AS 109 / IFRS 9): **cash-flow hedge** (future flow) → effective portion to OCI; **fair-value hedge** (existing asset/liability) → to P&L. Document at inception; test effectiveness.

Communication frameworks

Framework	Use
SCQA	Frame any message: Situation, Complication, Question, Answer
Minto pyramid	Answer first; 3-4 MECE supports beneath
So-what test	Push every line to an action
STAR	Behavioural answers: Situation, Task, Action, Result
Action title	Slide title = the takeaway, not the topic
Power/interest grid	Map stakeholders per decision
Credible challenge	Acknowledge goal → surface number → offer path

Checks, gotchas & red flags

- **Forward premium ≠ a rupee view.** It's pure interest-rate differential. Saying "the forward is higher because the rupee will weaken" is the classic tell that you don't understand covered interest parity.
- **Direct vs. indirect cash forecast:** treasury uses **direct** (receipts/disbursements). Confusing it with the indirect (net-income-to-cash) statement is a red flag.
- **Numbers must tie:** the hedge cost, the 13-week closing balance, and the 3 margin drivers must each reconcile. Panels probe the sum.
- **Land the answer.** The commonest failure is narrating without a recommendation. Every case ends with "so my answer/ask is X."
- **Don't bluff a live rate.** "I'd pull the actual money-market rates and the counterparty line before booking" is strength, not weakness.

Interview drill (meta)

Q1. "Why hedge at all — isn't it just a cost?" "We hedge to remove *earnings volatility* from a risk we're not paid to take — FX on imports. A forward locks the rupee cost of a known dollar payable so margin is protected regardless of spot. We're an importer, not an FX trader; certainty on ₹8.35 cr is worth more than a punt on the rate."

Q2. "When would you use an option instead of a forward?" "When the exposure is only *probable*, not committed — say a bid we might not win — so I don't want an obligation to deliver. An option caps the downside while leaving upside, at the cost of the premium. For a firm, committed payable, a forward is cheaper and cleaner."

Q3. "You have five minutes with the CFO and a bad number. What's your structure?" "Answer first — the takeaway framed by so-what. Then a MECE breakdown that ties exactly to the variance, each driver with its nature and action. Then the one decision I need. I own the number calmly, bring the fix, and keep the detail in backup for the questions I know are coming."

Learn/practise (free)

- **RBI FEDAI** materials and any bank's treasury explainer — free, India-specific FX forward and hedge mechanics.

- **CFA Institute / Investopedia** — free, correct notes on covered interest parity, forwards vs. options, IRS.
- **Rehearse free:** build the 90-day forward and the 13-week cash forecast in Excel with your own numbers; change spot and rates, watch the locked cost and closing balances move. Explain each out loud in under 60 seconds.
- **Mock the four drills** into a phone recorder; replay and cut every sentence that doesn't land the answer. The panel scores *landing*, not thoroughness.
- **Ind AS 109 / IFRS 9** hedge-accounting summaries (ICAI study material, free) — enough to say where the MTM lands (OCI vs P&L) and why.